

Treasury Bills (T-Bills): What They Are and How To Invest

 investopedia.com/terms/t/treasurybill.asp

A Treasury bill (T-bill) is a short-term U.S. government debt obligation backed by the U.S. Department of the Treasury. Terms range from four to 52 weeks. T-bills are issued at a discount from the par value, also known as the face value.

Treasury bills are usually sold in denominations of \$100. However, some can reach a maximum denomination of \$5 million in noncompetitive bids.¹ The Treasury sells T-bills during auctions using a competitive and noncompetitive bidding process.

Key Takeaways

- A Treasury bill (T-bill) is a short-term debt obligation backed by the U.S. Department of the Treasury with a one-year maturity or less.
- Treasury bills are usually sold in denominations of \$100 and can reach a maximum denomination of \$10 million.
- T-bill rates depend on interest rate expectations.



Investopedia /
Michela Buttignol

How To Buy Treasury Bills

The U.S. Department of the Treasury issues T-bills to raise cash to fund the federal government's spending when there is a budget deficit. T-bills are generally held either until the maturity date or cashed before maturity. Investors can buy T-bills in electronic form from a brokerage firm, which could cost a small fee, or directly from TreasuryDirect, the platform of the U.S. Treasury. Here are the steps to do so:

1. **Gather the following information:** Your Social Security number or taxpayer identification number (TIN), a U.S. address, and checking or savings account numbers you'll use for your payments.
2. **Visit TreasuryDirect.gov:** If you already have an account, proceed to step six.
3. **Select the account type:** You'll select among individual, business, estate, organizational, or trust.
4. **Enter your personal information:** Your TIN, U.S. address, and bank account details.
5. **Create a username and password:** You'll use these to establish your TreasuryDirect account.

6. **Verify your account:** After you do so, log in and click on the "Buy Direct" tab.
7. **Make your choice:** Select "Treasury bonds" as the security you wish to purchase, along with the desired amount.
8. **Click "Buy."**
9. **Review and confirm:** You'll be directed to a page where you'll review the details of your purchase. Carefully check for their accuracy.
10. **Submit the order:** You may be asked to accept terms and conditions, after which you'll click to submit your order.

After submitting your order, you should receive an on-screen confirmation indicating your request has been processed. You'll receive an email from TreasuryDirect confirming your purchase and providing a transaction summary. Your payment will typically be settled the next day. At maturity, the yield from your Treasury bond will be automatically deposited into your linked account.

T-bill prices tend to rise when the U.S. Federal Reserve is engaged in an expansionary monetary policy by purchasing Treasuries. Conversely, T-bill prices fall when the Fed sells its debt securities.

Treasury Bill Rates

The maturity period for Treasury bills is four, eight, 13, 17, 26, and 52 weeks (alternatively, one through four, six, and 12 months).² When interest rates are expected to rise, longer maturity dates pay more than shorter dates. Meanwhile, if interest rates are expected to fall, longer maturity dates might have lower interest rates.³ Below is a chart of the four-week, six-month, and one-year T-bill yields for the last 10 years.

Redemptions and Interest

T-bills are issued at a discount from the par value. A \$1,000 bill might cost the investor \$950. When the bill matures, the investor is paid the face value—par value—of the bill they bought. Since the face value exceeds the purchase price, the difference is the interest earned for the investor.⁴

For example, the Treasury issues a 52-week T-bill in April and sells it on May 1. If it's sold for \$95.419667 per \$100 and an investor purchases a \$1,000 52-week T-bill that day, they pay \$954.19667 and receive \$1,000 on maturity. The gain is \$45.80 in interest when the T-bill matures.⁵

T-bills do not pay regular interest payments as with a coupon bond, but a T-bill does include interest, reflected in the amount it pays when it matures.⁶ The interest income from T-bills is exempt from state and local income taxes. However, the interest income is subject to federal income tax.⁷

T-bills are issued at a discount from the par value, meaning the purchase price is less than the face value of the bill.

Pros and Cons of T-Bills

Pros

- Zero default risk since T-bills have a U.S. government guarantee
- T-bills offer a low minimum investment requirement of \$100
- Interest income is exempt from state and local income taxes but subject to federal income taxes
- Investors can buy and sell T-bills with ease in the secondary bond market

Cons

- T-bills offer low returns compared with other debt instruments
- The T-bill pays no interest payments leading up to its maturity
- T-bills can inhibit cash flow for investors who require steady income
- T-bills have interest rate risk, so, their rate could become less attractive in a rising-rate environment

T-bills pay a fixed rate of interest, which can provide a stable income. However, should interest rates rise, the existing T-bills fall out of favor since their return is less than the market. For this reason, T-bills have interest rate risk, which means there is a danger that bondholders might lose out should there be higher rates in the future.

Although T-bills have zero default risk, their returns are typically lower than corporate bonds and some certificates of deposit. Since Treasury bills don't pay periodic interest payments, they're sold at a discounted price to the face value of the bond.⁷

If sold early, there could be a gain or loss depending on where bond prices are trading at the time of the sale. The sale price of the T-bill could be lower than the original purchase price.²

A competitive bid sets a price at a discount from the T-bill's par value. Investors can specify the yield. Noncompetitive bid auctions allow investors to submit a bid to purchase a set dollar amount of bills. The yield investors receive is based on the average auction price from all bidders.

Federal Reserve Policy

Like other debt securities, T-bill prices fluctuate. Many factors can influence prices, including macroeconomic conditions, monetary policy, and supply and demand for Treasuries.⁴

Federal Reserve monetary policy and the federal funds rate affect T-bills. The rate is the interest rate that banks charge each other for lending money from their reserve balances overnight. The Fed increases or decreases this rate to contract or expand the money

supply.⁸

The Relationship Between the Fed Funds Rate and T-Bill Yields

Fed Funds Rate	Yields on Existing Bills	Investors
Increases	Goes up	Sell Existing T-Bills
Decreases	Goes down	Buy Existing T-Bill

How Does Inflation Affect Treasury Bills?

Treasuries also have to compete with inflation, which is the pace of rising prices. Even if T-bills are the most liquid and safest debt security in the market, fewer investors tend to buy them when the inflation rate is higher than the T-bill's returns. If an investor buys a T-bill with a 2% yield while inflation is at 3%, the investor would have a net loss on the investment when measured in real terms. As a result, T-bill prices tend to fall during inflationary periods as investors sell them and opt for higher-yielding investments.⁹

Are Treasury Bills the Only Debt Security Issued by the U.S. Treasury?

Treasury bills are one of several types of debt issued by the U.S. Department of the Treasury. Treasury bonds and Treasury notes are fixed-term debt. Treasury bills are short-term obligations, up to a year. Treasury notes are medium-term securities, from two to 10 years. Treasury bonds have the longest time frame, maturing in 20 or 30 years.¹⁰

What Type of Interest Payments Are Earned on a Treasury Bill?

The only interest paid will be when the bill matures. At that time, you are given the full face value. T-bills are zero-coupon bonds usually sold at a discount, and the difference between the purchase price and the par amount is your accrued interest.

The Bottom Line

Treasury Bills, or T-bills, are short-term debt obligations issued by the U.S. Treasury Department. They are considered safe investments because they are backed by the full faith and credit of the U.S. government. T-bills are sold at a discount from their face value and mature at face value. The difference between the purchase price and the maturity value is the interest earned by the investor.

Treasury bills are a good option for investors who are looking for a safe and secure investment with a short-term maturity while parking their money for a short period.